Question #1 of 63

Question ID: 1586670

Ten years ago Lance Tuipuloto, CFA, met with Horace and Nichole Scadden to discuss potential investments, but these prospects never became clients. Tuipuloto now wants to destroy the records from the meeting with the prospective clients. Is this action in compliance with Standard V(C)?

A) Yes; the prospects never became clients.

B) Yes; A sufficient number of years have passed since the meeting.

C) No.

Question #2 of 63

Question ID: 1586631

An analyst receives a research report from a colleague. The colleague's report has an elaborate table with performance data on publicly traded stocks. The colleague says the data in the table consists of measures provided by Standard & Poor's. The analyst finds the table a useful reference for a report she is writing. She uses several pieces of data from the table. The analyst is potentially in violation of:

A) Standard V(A), Diligence and Reasonable Basis, if she does not first verify the data in the table is accurate.

B) no particular standard because this is appropriate activity.

C) Standard I(C), Misrepresentation, concerning the use of the work of others.

Question #3 of 63

Question ID: 1586664

Wanda Brunner, CFA, is preparing for her first meeting with the Johnsons—her firm's newest clients. She makes notes regarding disclosure of the investment process. These notes *most likely* include reminders to:

A) anticipate changes in her clients’ investment objectives that could cause them to leave her firm.

B) adequately disclose the basic security selection and portfolio construction process.

C) notify her supervisors of any potential change in the security selection and portfolio construction process.

William Fleming is an investment advisor for GlobalBank, a large, multinational financial corporation. He is based in the New York office, and his client base consists of medium to large institutional accounts in the United States and Western Europe. Roughly three-quarters of his clients pay performance-based fees, while the remaining one-quarter pay fees based on assets. GlobalBank's investment banking division is an industry leader, and Fleming is able to offer his clients the opportunity to participate in some of the hottest initial public offerings (IPOs) and secondary offerings brought to market.

One of Fleming's accounts, Waverly Capital Partners, has contacted him regarding an upcoming secondary offering by DCH Corp., for which GlobalBank will serve as lead underwriter. Waverly has already performed its due diligence on the offering and is interested in purchasing a substantial position in the secondary offering in order to employ the company's current surplus of cash. Waverly's representative tells Fleming over the phone that they would like to purchase 5,000 shares of the offering but gives no other details of its analysis of the offering. Fleming has not read the prospectus for the offering yet and is not familiar with the details, but because he has confidence in Waverly's investment expertise, he tells them that he too believes they should participate in the offering. Because Waverly does a significant amount of business with GlobalBank's other divisions, Fleming assures them that they will be able to obtain their desired allocation of the offering and takes the order.

After taking the purchase order for the Waverly account, Fleming thoroughly reads the prospectus and marketing materials for the offering, as well as past research reports on the issuing company. He determines that DCH shares would be a suitable investment for one of his other clients, The Crockett Foundation. He contacts the Chief Investment Officer (CIO) of the foundation, explains how an investment in DCH would fit with its current risk and return objectives as detailed in the foundation's investment policy statement (IPS) and provides her with the prospectus for the offering. Fleming tells her that GlobalBank was the lead underwriter for DCH's initial public offering three years ago and that since then, the stock has outperformed the S&P 500 by at least 15% every year. Fleming also states that the company's financial position is now even stronger and that the shares will perform at least as well as the lowest return earned on the IPO shares in the last three years. He then proceeds to tell her, "If the foundation is interested in the offering, you should place an order immediately because the issue may be oversubscribed due to strong interest in the offering from Waverly Capital Partners and other clients." This information is enough to motivate Crocket's CIO to call a meeting with the foundation's investment committee.

After a quick meeting with Crockett's investment committee, the CIO calls Fleming to say that the foundation is interested in the offering and would like to place a purchase order. Crockett does not currently conduct any additional business through GlobalBank's other divisions. Because of GlobalBank's trade allocation policy, coupled with the high probability that the offering will be oversubscribed, Crockett is unlikely to be allocated as many shares of the offering as they would like to purchase. In order to obtain the desired number of shares for the client, Fleming devises a plan. He plans to add the Crockett Foundation's order to Waverly's order, and once the order is filled he will re-allocate the extra shares back to the foundation's account at the end of the day. He feels that his action is justified because Crockett has maintained its account with Fleming and GlobalBank for over ten years. In addition, Fleming has traders at GlobalBank sell large blocks of DCH over several days in order to push the stock price lower. The drop in value causes smaller investors at GlobalBank, who are not Fleming's clients, to withdraw their orders for shares of DCH's secondary offering. Fleming determines that the fewer number of purchase orders and the plan to piggyback on Waverly's order will allow Crocket to acquire its desired allocation of shares in DCH's secondary offering. Having achieved his goal, Fleming allows GlobalBank's traders to repurchase the firm's shares of DCH.

Twelve months pass, and the shares of DCH's secondary offering have declined in price by nearly 20%. The CIO of the Crockett Foundation calls a meeting with Fleming to discuss the poor performance of the security and to review the basis upon which Fleming recommended the investment. Fleming prepares Crockett's file to take with him to the meeting. The file contains Crockett's IPS, a detailed account of the purchase order and all conversations held between Fleming and the CIO. In accordance with his own established procedures, however, Fleming maintained the original analysis supporting the purchase of shares in DCH's secondary offering for nine months after the investment was made.

Question #4 - 7 of 63

Question ID: 1586619

According to the CFA Institute's Standards of Professional Conduct, Fleming's execution of Waverly's trade order after confirming the appropriateness of the trade is *most likely* in violation of:

A) Standard I(C)—Misrepresentation for not disclosing to Waverly that he did not read the marketing materials, but is not in violation of Standard III(C)—Suitability because the client analyzed the investment thoroughly.

B) Standard V(B)—Communication with Clients and Prospective Clients for not separating fact from opinion, but is not in violation of Standard I(C)—Misrepresentation because his guarantee of future investment performance was not a written representation.

C) Standard V(A)—Diligence and Reasonable Basis for not exercising diligence and thoroughness in his analysis of the investment and Standard III(C)—Suitability for recommending an investment before determining if the investment was appropriate for the client.

Question #5 - 7 of 63

Question ID: 1586620

According to CFA Institute Standards of Professional Conduct, which of the following of Fleming's actions is *most likely* a violation of Standard I(C)—Misrepresentation? Fleming:

A) tells the CIO of Crocket Foundation that shares of DCH's IPO outperformed the S&P 500 by at least 15% in each of the last three years since the offering.

B) executes the trades on DCH Corp. per Waverly's instructions without first referring to Waverly's IPS.

C) tells the CIO of the Crockett Foundation that DCH's secondary offering will earn at least the lowest return earned on its IPO shares over the last three years.

Question #6 - 7 of 63

Question ID: 1586621

According to CFA Institute Standards of Professional Conduct, did Fleming's conversation with the CIO of the Crockett Foundation or his decision to sell GlobalBank's position in DCH stock *most likely* violate Standard II(B)—Market Manipulation?

	Conversation with CIO	Sell decision
A)	Yes	No
B)	Yes	Yes
C)	No	Yes

Question #7 - 7 of 63

Question ID: 1586622

Is it *most likely* that Fleming violated any CFA Institute Standards of Professional Conduct related to his meeting with the CIO of the Crockett Foundation?

A) No—he maintained an IPS and followed established procedures in maintaining client records and data.

B) Yes—he failed to maintain appropriate records to support his investment recommendation.

C) No—he does not have a duty to maintain client records, only his employer does.

Bella Brown is an experienced generalist securities analyst employed by Lang & Co., a major U.S. brokerage firm whose clients have a high regard for her research and stock selection abilities. She was visited recently by a Lang managing director who said, "Please take a look at SpecChem Inc., the specialty chemical producer. They are going to need an investment banker soon and, because we make a market in their stock, we will be one of the firms considered for this business. I had lunch with SpecChem's Treasurer today, who told me that their European problems are being resolved and that earnings results are definitely looking good. He likes us and is expecting you to call him for details." The managing director then left Brown's office, saying, "It would be great if you could rate the stock a 'Buy'."

In a subsequent hour-long telephone discussion with the Treasurer, Brown obtained some useful information concerning recent company trends and developments as well as SpecChem's overall view of the outlook for sales and earnings during the next several quarters. Brown began thinking quite positively about the company and its prospects. She then reviewed some general source material on the chemical industry and read the Standard & Poor's Stock Guide on SpecChem Inc. That afternoon, she wrote a report recommending purchase of the stock, shown below as Exhibit B. In accordance with Lang's routine procedures for pre-dissemination review of Research Department recommendations, the report has been sent to the firm's Director of Research, who is aware of the circumstances under which it was prepared.

Exhibit B

LANG & COMPANY Company Report

Industrial: Specialty Chemicals Equity Research

Rating: Buy

SpecChem Inc. (NYSE: SCM)

- We are initiating coverage of SpecChem Inc. with this report.

- Earnings, up to 51% in the first quarter, are expected to be up again in the quarter ending June 30. Higher sales, better margins, an improved geographic sales mix, and savings from reduced pension expense are all contributing to this year's gains.
- Although European production is up only modestly year-over-year, successful cost reduction efforts are limiting the adverse effects of weak volume and pricing. A possible plant closure in September could improve plant utilization by 10%, accompanied by potentially dramatic margin improvement. However, a $30 million after-tax special charge could be taken at the time of the closure.
- We expect a moderate increase in second half 2014 sales. Although management looks for European demand to remain slow, it feels that U.S. sales could be above expectations if auto-related demand strengthens. Management is also optimistic about receiving a sizable U.S. government contract in the next few months.
- Based on the factors noted above, our confidence level concerning earnings levels over the balance of the year is high.
- We think SpecChem stock is undervalued and believe it can easily reach the low 100s on the strength of continuing earnings momentum. The downside is estimated to be in the mid-80s. There is plenty of room for upside earnings surprises if volume and prices improve, which would take the stock up strongly. Purchase is recommended.

Analyst: Bella Brown

Research Department

This report is based upon information which we consider reliable, but we do not represent that it is accurate, and it should not be relied upon as such. We, or persons involved in the preparation or issuance of this material, may, from time to time, have long or short positions in the securities of the company mentioned herein.

Question #8 - 11 of 63

Question ID: 1586609

Under the CFA Institute Code and Standards, it is the responsibility of the Director of Research, a CFA Institute member to:

A) exercise reasonable supervision over those subject to their supervision or authority to prevent any violation of applicable statues, regulations or provisions of the Code and Standards.

B) both of these.

C) not knowingly participate or assist in any violation of laws, rules, or regulations.

Question #9 - 11 of 63

Question ID: 1586610

Under the current circumstances, the Director of Research should:

A) allow the report to be distributed, as is.

B) require the report to be redone to ensure compliance with CFA Institute Standards.

C) require the report to be redone with a neutral or hold rating pending the outcome of the awarding of the investment banking business.

Question #10 - 11 of 63

Question ID: 1586611

The research report, as shown, has several aspects which violate CFA Institute Standards of Professional Conduct. Which of the following is NOT an apparent violation of CFA Institute Standards?

A) The report does not adequately discuss the factors important to analysis, recommendations, or action.

B) The report violates guidelines on investment performance presentation.

C) The report does not distinguish between fact and opinion.

Question #11 - 11 of 63

Question ID: 1586612

As to the process by which Brown's report in Exhibit B came into being, which of the following is *least likely* a procedural error in violation of CFA Institute Standards of Professional Conduct?

A) Brown has violated the Standard relating to the prohibition against plagiarism.

B) Brown has violated the Standard relating to disclosure of basic characteristics.

C) Brown has violated the Standard relating to independence and objectivity.

Rajiv Singh, a CFA charterholder, works as an equity analyst with Horizon Investments, a large broker/dealer. After ski-resort developer HighLife misses a quarterly earnings target, Singh changes his recommendation on HighLife from buy to hold. Singh has been following HighLife for years. In several previous research reports on HighLife, Singh told clients that, based on his detailed analysis of the financial statements and market position, he believed HighLife had stopped picking up market share. He had mentioned concerns about HighLife several times in his reports and said in the most recent report that he would downgrade the stock if it missed quarterly earnings.

Singh had produced his monthly report on HighLife just a week before the earnings announcement, and because he had just written about his intention to downgrade the stock, he felt he did not need to inform clients of his recommendation change until the next monthly report.

On the same day that the HighLife report was released, Singh initiated coverage on another company with a buy rating, the convenience store operator QuickStop. His research report is distributed that afternoon. A client sends Singh a sell order for QuickStop via e-mail the same day the new recommendation is being disseminated to all Singh's clients and prospects.

John Womack, a Level II CFA candidate, is a trader at Horizon. Womack, walking past the conference room during an investment meeting, learns of the initiation of the buy rating on QuickStop. Prior to the dissemination of the buy rating to Horizon's clients, he buys up a large block of QuickStop shares for Horizon's account in anticipation of clients' interest in the stock. When the rating is released to the firm's customers, he fills the incoming customer orders out of Horizon's inventory, generating a modest profit for the company.

Horizon is drafting trade-allocation guidelines for companywide use. Five regulations the company is considering are listed below:

1. Regular orders are processed and executed on a pro-rata basis.
2. Shares in initial public offerings will be allocated on a pro-rata basis to the firm's portfolio managers according to advance indications of interest from the managers.
3. When the full amount of a block order is not executed, partially executed orders are allocated on a first-in, first-out basis.
4. Orders must be recorded in writing and stamped with the time of the order and the execution.
5. All clients participating in block trades are given the same execution price, and all clients are charged the same commission.

Question #12 - 15 of 63

Question ID: 1586604

Womack's trading actions are a violation of:

A) Standard IV(A)—Loyalty to Employer and Standard III(B)—Fair Dealing.

B) Standard III(E)—Preservation of Confidentiality and Standard VI(B)—Priority of Transactions.

C) Standard III(A)—Loyalty, Prudence, and Care and Standard VI(B)—Priority of Transactions.

Question #13 - 15 of 63

Question ID: 1586605

With regard to his coverage of HighLife stock, Singh:

A) did not violate the Standards for reasonable basis or research reports.

B) violated the research reports Standard because he failed to differentiate between facts and opinions.

C) violated the reasonable basis Standard by downgrading a stock because it missed one quarterly earnings estimate.

Question #14 - 15 of 63

Question ID: 1586606

After Singh changed his investment recommendation for HighLife from a "buy" to a "hold," he violated:

A) Standard I(C)—Misrepresentation by not exercising diligence and thoroughness in his research.

B) Standard III(B)—Fair Dealing by not telling clients about the downgrade of HighLife in the wake of his promise to downgrade the stock if it missed estimates.

C) Standard V(A)—Loyalty, Prudence, and Care by not exercising reasonable care and prudent judgment in his research.

Question #15 - 15 of 63

Question ID: 1586607

Which of the following trade allocation procedures being considered for Horizon's trade allocation policy would *NOT* be consistent with Standard III(B)—Fair Dealing?

A) Regular orders are processed and executed on a pro-rata basis.

B) When the full amount of a block order is not executed, partially executed orders are allocated on a first-in, first-out basis.

C) All clients participating in block trades are given the same execution price and are charged the same commission.

Question #16 of 63

Question ID: 1586623

Randal Brooks is the chief economist for a large brokerage firm. In the aftermath of a national tragedy, Brooks feels that it is very possible that the stock market will drop significantly and not recover for several years. However, he does not believe that this is the most likely scenario but merely that the risk of investing in equities has increased. He decides to write a market commentary to the brokerage clients that discusses the reasons why the market will remain stable and talks about why he, as a private citizen, feels patriotic. He does not mention the increase risk in equities. Brooks has:

A) violated the Standards by not including all of the relevant factors in the research report, but not by making patriotic statements.

B) violated the Standards by not including all of the relevant factors in the research report and making patriotic statements.

C) not violated the Standards.

Question #17 of 63

Question ID: 1586629

Wes Smith, CFA, works for Advisors, Inc. In order to remain in compliance with Standard V(A), Diligence and Reasonable Basis, Smith may recommend a security in which of the following situations?

A) For either of the reasons listed here.

B) Smith reads a favorable review of the security in a widely read periodical.

C) Advisors' research department recommends a stock.

Lon Smith is an analyst in the Research Department of Lincoln & Co., a large investment bank. Smith has just completed a temporary assignment in Lincoln's Corporate Finance Department related to underwriting a debt offering for FinSoft, a computer software company. FinSoft's recent operating record has reflected lagging sales volume and heavy product development expenses. Smith has marked his FinSoft notes and work sheets "CONFIDENTIAL / CORPORATE FINANCE DEPARTMENT" and sent them to the company file in the Research Department. This material reveals that FinSoft is about to receive a major contract for an innovative software program that will have a very significant positive impact on earnings as well as on the company's visibility and stature in the industry.

Jay Jones, a CFA candidate and a portfolio manager for Lincoln, has come upon these notes and work sheets while reviewing the FinSoft research file. Jones had been considering sale of the stock from the accounts under his management, but realizes after reading the file material that the recent weakness in operating results is about to be reversed and that the company's prospects are actually quite favorable. Perhaps, he thinks, he should add to his clients' FinSoft positions instead of considering their sale.

Jones briefly reflects on the matter of "inside information" in relation to perhaps buying more of the stock instead of selling it, but his recollection is hazy and Lincoln has no formal guidelines on the subject to which he can refer. Based on the circumstances, Jones believes he is free to use this new knowledge for the benefit of Lincoln's clients.

At a local CFA society event, Jones mentions to Mohammed Bamyeh, a friend and financial advisor, that FinSoft is about to receive a major new contract that has yet to be announced. Later that day, Bamyeh takes a large long position in a technology ETF that has a large weight for FinSoft stock.

Question #18 - 21 of 63

Question ID: 1586614

Based on CFA Institute Standards of Professional Conduct, which of the following is *least accurate*?

A) There is no breach of duty if traded on Smith's report because Jones did not conduct the research that produced the information.

B) The information is material because the new software is likely to significantly increase FinSoft's future earnings.

C) There is misappropriation of information by Jones because the file is marked "Confidential / Corporate Finance Department."

Question #19 - 21 of 63

Question ID: 1586615

Based on the information presented in this situation, Jones has an obligation to do all of the following EXCEPT:

A) encourage his employer to review the compliance procedures as they relate to material nonpublic information issues.

B) wait to trade on the information until after a reasonable period has passed.

C) encourage public dissemination of the information.

Question #20 - 21 of 63

Question ID: 1586616

Based on the information presented, Lincoln should adopt a set of guidelines on inside information that include each of the following EXCEPT:

A) have in place a supervisor or compliance officer who has the authority and responsibility to decide whether information is material and nonpublic.

B) prohibit exchange of personnel, even temporary, between investment banking and institutional money management departments.

C) develop criteria for identifying inside information.

Question #21 - 21 of 63

Question ID: 1586617

When recommending the purchase of FinSoft company shares to Bamyeh, Jones *least likely* violated the Standard relating to:

A) diligence and reasonable basis.

B) loyalty to employer.

C) integrity of capital markets.

Question #22 of 63

Question ID: 1586652

In the preparation of a research report, a CFA Institute member may emphasize certain matters, touch briefly on others, and omit some altogether:

A) provided that the analyst both has a reasonable basis and is unconstrained by the Mosaic theory.

B) provided that the analyst has a reasonable basis for his or her actions.

C) under no circumstances.

Question #23 of 63

Question ID: 1586626

Using as his universe all companies in the steel industry, Reynold Anderson analyses the performance of stock prices for the industry. He succeeds in developing a regression model with excellent statistical control measures. The extrapolation from the model shows low risk variance of the securities in this industry. Without the inclusion of non-steel stocks in the portfolio, Anderson concludes that, based on these results, every portfolio can use the steel industry securities to diversify and lower its risk. He persuades his clients to change their current portfolios. Anderson states that, as the model's results show, some particular industries, such as car manufacturers, have underpriced stocks, and investors should take advantage of it. Anderson has violated the Standards because he:

A) is not clear enough about the model results.

B) does not distinguish the opinion, based on his model, from the fact.

C) does not consider the suitability of the investment.

Question #24 of 63

Question ID: 1586635

Bill Fox, CFA, has been preparing a research report on New London Wire and Cable, one of his major investment clients. He had completed much of his analysis and had planned on having his report typed and bound today. Unfortunately, his briefcase was stolen while he ate breakfast, and he lost all his notes and working papers. The lost materials included his notes from management interviews, conversations with suppliers and competitors, dates of company visits, and his computer diskette containing much of his quantitative analysis. Fox's client needs this report tomorrow. In a panic, Fox called New London's vice president of finance and was faxed a copy of the company's most recent financial projections. Fox remembered that his own analysis showed that management's estimates were too high. He did not remember the exact amount, so he revised New London's figures downward 10%. Fox incorporated some charts and graphs on New London from a research report he received last week from a small regional research firm and some information from a Standard & Poor's reference work in his report, without reference to their sources. Fox has:

A) violated the requirement to have a reasonable basis for a recommendation and the prohibition against plagiarism.

B) violated none of the Standards.

C) violated the requirement to have a reasonable basis for a recommendation, the prohibition against plagiarism, and the requirement to maintain appropriate records.

Question #25 of 63

Question ID: 1586624

Scott LaRue is a portfolio manager for Washington Advisors. Washington has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Washington model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as "buys" by the model. La Rue feels the model would be improved by adding some factors but he has not fully tested this new version of the model. LaRue discloses his model to his own clients but not to his supervisor. LaRue is:

A) violating the Standards by not having a reasonable and adequate basis for his investment recommendation.

B) not violating the Standards.

C) violating the Standards by not considering the appropriateness of the recommendations to clients.

LMS Securities is a boutique broker-dealer specializing in private placements for technology companies. The firm also provides aftermarket support for the companies that go public after private rounds of financing. This support includes market making and research coverage.

Susan Jones, CFA, is an analyst at LMS Securities. She is responsible for a subset of the companies for which LMS offers research coverage. She recently received her annual CFA Institute Professional Conduct statement, but has not yet filled it out and turned it in. Steve Brown is an analyst who directs the due diligence process for LMS Securities' private placements. Brown passed the Level II exam five years ago, and has registered for the Level III exam every year since then, but has never taken it. He is registered for the Level III CFA exam next June, but nobody at the office believes he will actually take the test.

Sunrise Technologies is a longtime client of LMS Securities. LMS arranged four levels of private financing, for Sunrise, providing in-depth business consulting as well as handling all of the private placements. Sunrise went public 90 days ago and is currently trading at $14 per share.

Kenneth Karloff, CEO of LMS Securities, instructed Jones to write a favorable research report on Sunrise Technologies right before the company went public, setting a price target of at least $30 per share. Jones has developed a number of alternative cash flow projections for Sunrise Technologies. She picks an optimistic scenario to justify a $30 price target and issues a positive report using those projections.

After Sunrise Technologies has gone public, Karloff decides to help Jones to write a more-detailed research report on the company. Karloff provides Jones with information about the product pipeline and sensitive patent litigation that was given to him in confidence by Sunrise executives while the company was private. Given the product pipeline and legal outlook, Jones revises her cash flow models to reflect greater growth, then writes a positive report and advises LMS's clients to buy the stock.

Question #26 - 30 of 63

Question ID: 1586645

In order to remain an active member of CFA Institute, Jones must annually:

A) pay applicable membership dues and complete forty hours of continuing education.

B) submit her completed Professional Conduct Statement, pay applicable membership dues, and complete forty hours of continuing education.

C) submit her completed Professional Conduct Statement and pay applicable membership dues.

Question #27 - 30 of 63

Question ID: 1586646

Which of the following statements regarding the research report on Sunrise Technologies after the company went public is CORRECT?

A) Jones has violated the misrepresentation Standard with her aggressive growth prediction for Sunrise Technologies; Karloff has violated the plagiarism Standard by disseminating information he received in confidence.

B) Jones is in compliance with the objectivity Standard because she made her recommendation based facts, not conjecture; Karloff has violated the Standard regarding the use of material nonpublic information.

C) Jones has violated the Standard on research reports because she failed to distinguish between fact and opinion; Karloff is in compliance with the supervisory-responsibilities Standard because he is keeping up with Jones' actions and ensuring her report is accurate.

Question #28 - 30 of 63

Question ID: 1586647

According to CFA Institute Standards concerning fair dealing, Jones is required to do which of the following?

A) Ensure that accounts belonging to her immediate family purchase securities only after other clients have had the chance to buy.

B) Disseminate new investment recommendations to all clients at the same time.

C) Disclose to all clients whether different levels of service are offered.

Question #29 - 30 of 63

Question ID: 1586648

Which of the following statements could Brown put on his resume without violating Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program?

A) I am a Level III CFA and should become a chartered financial analyst next year.

B) If I pass the Level III test, I may be eligible for my CFA charter late next year.

C) I am a Level III CFA candidate eligible to receive my charter in November 2005.

Question #30 - 30 of 63

Question ID: 1586649

When Jones produced the research report on Sunrise Technologies before it went public, she violated:

A) Standard V(B): Communication with Clients and Prospective Clients by leaving relevant facts out of the report, but not Standard III(A): Loyalty, Prudence, and Care because the CEO cannot pass his fiduciary duty on to her.

B) Standard I(B): Independence and Objectivity because of her obedience to her CEO, and Standard II(A): Material Nonpublic Information because of Karloff's involvement.

C) Standard V(A): Diligence and Reasonable Basis because her research report was not thorough, and Standard I(B): Independence and Objectivity because of her obedience to her CEO.

Question #31 of 63

Question ID: 1586655

Midland Investment Banking issues a prospectus for its open-end Midland Gold Fund. In the prospectus, the investment policy is disclosed as, "We will maintain an investment posture of 50% or more in gold stocks and/or bullion, depending upon market conditions." This policy is maintained until the price of gold falls by 20%, leaving the fund 40% invested in gold stocks and bullion. Management decides that since the allocation was affected by market conditions, no action to either change the investment policy or to rebalance the portfolio is required. This decision is:

A) in violation of the Standard concerning disclosure of investment processes.

B) under the circumstances, not in violation of the Code and Standards.

C) in violation of the Standard concerning fiduciary duties to clients.

Question #32 of 63

Question ID: 1586665

A manager of pooled funds must do all of the following to remain in compliance with the Standards EXCEPT:

A) Notify potential investors of any changes in investment policy.

B) Print the investment policy statement in all quarterly reports.

C) Disclose basic security selection processes.

Question #33 of 63

Question ID: 1586667

Lee Hurst, CFA, is an equity research analyst who has recently left a large firm to start independent practice. He is able to re-create several of his previous research reports, based on his clear recollection of supporting documentation he compiled at his previous employer. He publishes the reports and obtains several new clients. Hurst is *most likely*:

A) in violation of the Standard concerning record retention.

B) in violation of the Standard concerning diligence and reasonable basis.

C) not in violation of any Standard.

Question #34 of 63

Question ID: 1586663

In order to remain in compliance when managing private client accounts, members must do all of the following EXCEPT:

A) Seek authorization for changes in investment policy.

B) Conduct regular reviews of client circumstances.

C) Use a risk-factor model to assess the client's risk tolerance.

Question #35 of 63

Question ID: 1586650

Nicole Wise, CFA, is an analyst at Chicago Securities. She attends a meeting with management of one of the companies that she covers. During the meeting, management expresses great optimism about the company's recent acquisition of a new business. Wise is excited about these prospects and issues a research report that states that the company is about to achieve significant success with the new acquisition. Wise has:

A) violated CFA Institute Standards of Professional Conduct because she did not check the accuracy of the statements that management made.

B) not violated CFA Institute Standards of Professional Conduct because she had reasonable reason to believe that the statements in her report were true.

C) violated CFA Institute Standards of Professional Conduct because she misrepresented the optimism by turning it to certainty.

Question #36 of 63

Question ID: 1586658

An analyst finds a stock with historical returns that are not correlated with interest rate changes. The analyst writes a report for his clients that have large allocations in fixed-income instruments and emphasizes the observed lack of correlation. He feels the stock would be of little value to investors whose portfolios are composed primarily of equities. The clients with allocations of fixed income instruments are the only clients to see the report. According to Standard V(B), Communication with Clients and Prospective Clients, the analyst has:

A) violated the Standard concerning fair dealings with all clients.

B) not violated the Standard.

C) violated the article in the Standard concerning facts and opinions.

Question #37 of 63

Question ID: 1586633

An analyst writes a report and includes the forecasts of an econometric model developed by the firm's research department. The analyst identifies the source of the forecast and includes all the relevant statistics concerning the model. With respect to diligence and reasonable basis, the analyst has:

A) violated the Standards by relying on model forecasts.

B) complied with the Standards.

C) violated the Standards by not evaluating the model independently.

Question #38 of 63

Question ID: 1586662

A manager of pooled funds must do all of the following to remain in compliance with the Standards EXCEPT:

A) seek authorization for any proposed changes.

B) seek authorization for any trade that involves more than 1 percent of the fund's assets.

C) disclose portfolio construction processes.

Question #39 of 63

Question ID: 1586628

An analyst receives a report from his research department that summarizes and interprets a recent speech from the chairman of the U.S. Federal Reserve. The summary says that the chairman thinks inflation is under control. Based upon this summary, the analyst says in his next newsletter that inflation is under control. This is a violation of:

A) none of the Standards listed here.

B) Standard V(A), Diligence and Reasonable Basis, only.

C) Standard V(A), Diligence and Reasonable Basis, and Standard V(B), Communication with Clients and Prospective Clients.

Question #40 of 63

Question ID: 1586666

According to CFA Institute Standards of Professional Conduct, members are *least likely* required to:

A) distribute a detailed research report to clients with any recommendation.

B) analyze the investment's basic characteristics before recommending a specific investment to a broad client group.

C) make diligent efforts to determine whether third party research relied on is sound.

Vera Sandro recently joined Seamark Securities as a portfolio manager. Sandro also recently took the Level III examination in the Chartered Financial Analyst program, but has not yet received her results. Seamark is a medium-sized firm that employs many CFA Institute members.

Sandro has been asked by her supervisor, Ledia Ferrazzo, CFA, to write a brief biography to be included in the promotional brochure Sandro hands out to prospective clients. Sandro included the following sentences in her biography: "Vera Sandro, a Chartered Financial Analyst Level III candidate, has focused educational and investment experience in the small-cap stock market. She has consistently achieved better-than-average market returns and expects to do so in the future as well." The brochure was printed and is being used by Sandro as a marketing tool.

Soon after joining Seamark, Sandro attended a conference at which Liam Wright presented several computerized spreadsheets that he had developed to value high-tech stocks. During the presentation, Sandro copied the spreadsheets on her laptop computer. Later, Sandro made major changes to Wright's initial model. After testing the new model, Sandro was impressed with the results. Wright used Standard & Poor's data as inputs for the model, but Sandro used data supplied by Moody's Investors Service. Sandro wrote a research report describing the revised model and its results in detail and sent the report to her biggest client, along with some stock picks selected by the model.

Ferrazzo, the head portfolio manager for Seamark, often meets corporate executives in the course of her evaluation of potential investments. A week ago, Ferrazzo had lunch with Ralph Henderson, a senior vice president of Kellogg Industries, a maker of luxury linens. Ferrazzo told Henderson that she was looking for an appropriate investment in the fabric industry for her large client, Parker Jones. Henderson responded that he thought his company was well-positioned in the market, though he admitted to underestimating the demand for silk sheets in the region. After lunch, Ferrazzo read a research report that said all of Kellogg's silk plants were running at capacity, and the company might have trouble meeting the long-term demand. Two days later, Ferrazzo observed another senior vice president of Kellogg at a restaurant having dinner with the chief financial officer of Bradley Textiles, a maker of various kinds of silk fabrics. It is widely known in the market that Bradley is seeking a potential merger partner, as the founder and CEO is ready to retire.

Ferrazzo did additional research and concluded that Kellogg Industries and Bradley Textiles had complementary product lines in several areas and similar management cultures. She also remembered reading in Forbes a story in which Kellogg's CFO was quoted as saying the company had the financial wherewithal for a merger and an interest in expansion. Ferrazzo's research indicated that Bradley's market value exceeded its intrinsic value, suggesting that Kellogg was unlikely to pay a high merger premium. Nonetheless, Ferrazzo proceeded to purchase stock in Bradley on behalf of her clients. Six months later, Kellogg acquired Bradley and paid a 40 percent premium over market price.

Sandro shares a workspace with Don Wilson, a CFA charterholder. Wilson recommends that one of his clients buy Alpha Co. shares based upon detailed research conducted by a Seamark analyst. Sandro recommends that one of her clients sell Alpha Co. shares based upon comprehensive research conducted by another brokerage firm.

Seamark has evaluated prospective brokers to execute trades on behalf of its investment-management clients. The findings are as follows:

- White Brokerage Co. offers best price and execution, charges an average of $99 for a typical trade, and provides generous soft dollars.
- Green Brokers Inc., offers good price and execution, charges an average of $59 for a typical trade, and provides moderate soft dollars.
- Blue Brokerage Services Inc., offers best price and execution, charges an average of $79 for a typical trade, and provides moderate soft dollars.

Question #41 - 46 of 63

Question ID: 1586638

With regard to Ferrazzo's purchase of Bradley stock, she violated:

A) Standard III(E): Preservation of Confidentiality, but not Standard V(A): Diligence and Reasonable Basis.

B) Standard V(A): Diligence and Reasonable Basis, but not Standard II(A): Material Nonpublic Information.

C) Standard III(E): Preservation of Confidentiality and Standard II(A): Material Nonpublic Information.

Question #42 - 46 of 63

Question ID: 1586639

Regarding the high-tech stock model, which of the following actions is *least likely* to help Sandro avoid violating the standards regarding plagiarism and research reports?

A) Acknowledging Wright's development of the initial model.

B) Acknowledging Standard & Poor's as the original data source and Moody's Investors Service as the new data source.

C) Providing basic information about technology stocks in the research report.

Question #43 - 46 of 63

Question ID: 1586640

The production of the advertising represented a violation of:

A) Standard IV(A): Loyalty to Employer and Standard I(C): Misrepresentation.

B) Standard IV(C):Responsibilities of Supervisors, but not Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program.

C) Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program, and Standard I(C): Misrepresentation.

Question #44 - 46 of 63

Question ID: 1586641

Ferrazzo may use which of the following brokers?

A) Blue and Green only.

B) White and Blue only.

C) Blue only.

Question #45 - 46 of 63

Question ID: 1586642

Which of the following statements regarding Alpha Co. is *least* accurate?

A) Sandro has breached a fiduciary duty to her client.

B) The fair-dealing standard has not been violated.

C) Both Wilson and Sandro have a reasonable basis for their recommendations.

Question #46 - 46 of 63

Question ID: 1586643

Which of the following statements regarding Sandro's biography is *least* accurate?

A) Sandro must disclose her stake in a thinly traded, family-owned construction company.

B) Sandro can begin using the CFA designation as soon as she receives her exam results.

C) Sandro need not deliver a copy of the Code and Standards to Ferrazzo.

Question #47 of 63

Question ID: 1586659

Janice Melfi is a portfolio manager for Soprano Advisors. Soprano has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Soprano model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers use the model to assist them in making portfolio decisions, but, based on their own fundamental research, are allowed to purchase securities not recommended by the model. This fact is not disclosed to the clients, because the head of marketing does not think it is relevant. Which of the following statements regarding the portfolio manager's investment decisions is CORRECT?

A) Melfi is violating the Standards by using two investment processes that are in conflict with each other.

B) Soprano is violating the Standards by not disclosing the fundamental research aspect of the investment process.

C) There is no violation of the Standards.

Question #48 of 63

Question ID: 1586632

Several years ago, Hilton and Ross, a full service investment firm, managed the initial public offering of eCom, Inc. Now, eCom wants Hilton and Ross to underwrite its secondary public offering. A senior manager at Hilton and Ross asks Brent Whitman, CFA, one of its equity analysts, to write a favorable research report on eCom to help make the underwriting a success. Whitman conducts a thorough analysis of eCom and concludes that the company has serious problems that do not suggest a favorable financial outlook. Nevertheless, Whitman writes a favorable report because he is fearful of losing his job. Hilton and Ross publicly distribute a report that only contains a buy recommendation and a brief description of the basic characteristics of eCom. Whitman has violated:

A) Both Standard I(B) Independence and Objectivity and Standard V(A) Diligence and Reasonable Basis.

B) Standard V(A) Diligence and Reasonable Basis only.

C) Standard I(B) Independence and Objectivity, only.

Question #49 of 63

Question ID: 1586671

Four months ago Lance Tuipuloto, CFA, analyzed three equity securities for Janet Scadden. However, Scadden decided to invest in bonds instead. Tuipuloto now wants to destroy the records from the stock analysis. Is this action in compliance with Standard V(C)?

A) Yes. Tuipuloto does not need to keep the records because his advice was not followed.

B) Yes. Tuipuloto only needs to keep the records for 90 days.

C) No.

Question #50 of 63

Question ID: 1586636

An analyst has found an investment with what appears to be a great return-to-risk ratio. The analyst double-checks the data for accuracy, keeps careful records, and is careful to not make any misrepresentations as he simultaneously sends an e-mail to all his clients with a "buy" recommendation. According to Standard V(A), Diligence and Reasonable Basis, the analyst has:

A) violated the Standard if he does not verify whether the investment is appropriate for all the clients.

B) violated the Standard by communicating the recommendation via e-mail.

C) fulfilled all obligations.

Question #51 of 63

Question ID: 1586654

Janet Coleman, CFA, is preparing a research report on Union Utilities. During the past year, three of the five utility companies in her region have cut their dividends by 50%, on average, to provide more internal funds for capital investment. Coleman reasons that the management of Union will be under pressure to cut its dividends within the next year to remain competitive. Coleman issues a research report in which she states:

"Union will decrease its dividend from $2 to $1 a share by the second quarter to finance its investment opportunities. If investors buy the stock now at around $50 a share, their total return could exceed 20%."

With regard to the Standard on communication with clients and prospective clients, Coleman:

A) did not violate the Standard.

B) violated the Standard because she promised a specific return on an investment.

C) violated the Standard because she failed to distinguish opinion from fact.

Question #52 of 63

Question ID: 1586653

Bob Hatfield, CFA, has his own money management firm with two clients. The accounts of the two clients are equal in value. It is Hatfield's opinion that interest rates will fall in the near future. Based upon this, Hatfield begins increasing the bond allocation of each portfolio. In order to comply with Standard V(B), Communication with Clients and Prospective Clients, the analyst needs to:

A) inform the clients of the change and tell them it is based upon an opinion and not a fact.

B) make sure that the change is identical for both clients.

C) perform both of these functions.

Question #53 of 63

Question ID: 1586657

An analyst has several groups of clients who are categorized according to their specific needs. Compared to research reports distributed to all of the clients, reports for a specific group:

A) are not permitted by the Code and Standards.

B) are required to include more basic facts.

C) may generally exclude more basic facts.

Question #54 of 63

Question ID: 1586668

An analyst has constructed an investment policy statement (IPS) and a portfolio for a new client, Stephanie Sasser. He has also provided written guidelines on the processes used to make investment management decisions. Six month later, Sasser questions the analyst about several portfolio holdings. Due to a large allocation in financial services stocks during a severe market downturn, her portfolio has underperformed the benchmark by a large margin. Although the analyst remembers discussing the over-allocation with Sasser, and receiving her approval, he is unable to find supporting documents. Which of the following Standards has the analyst *most likely* violated?

A) Standard V(A) Diligence and Reasonable Basis.

B) Standard V(B) Communications with Clients and Prospective Clients.

C) Standard V(C) Record Retention.

Question #55 of 63

Question ID: 1586660

The Konkol Company implements a new methodology for portfolio valuation that is licensed to them by ABC Statistics. To comply with the Code and standards, Konkol should:

A) discuss the new methodology only with clients whose security selection process will change as a result.

B) discuss the new methodology with its clients.

C) not discuss the new methodology with clients because doing so would fail to preserve ABC's confidentiality.

Question #56 of 63

Question ID: 1586634

In the process of recommending an investment, in order to comply with Standard V(A), Diligence and Reasonable Basis, a CFA Institute member must:

A) do both of these.

B) have a reasonable and adequate basis for the recommendation.

C) support a recommendation with appropriate research and investigation.

Question #57 of 63

Question ID: 1586627

Todd Gable, CFA, was attending a noon luncheon when he overheard two software executives talking about a common vendor, Datagen, about how wonderful they thought the company was, and about a rumor that a major brokerage firm was preparing to issue a strong buy recommendation on the stock. Gable returned to the office, checked a couple of online sources, and then placed an order to purchase Datagen in all of his discretionary portfolios. The orders were filled within an hour. Three days later, a brokerage house issued a strong buy recommendation and Datagen's share price went up 20%. Gable then obtained the brokerage house's research report on Datagen and quoted parts of it in a report to his clients. Gable has *most likely* violated the Standards by:

Gable has:

A) not having a reasonable basis for an investment action.

B) using material nonpublic information.

C) using the recommendation of another brokerage firm in his report.

Question #58 of 63

Question ID: 1586630

The following scenarios refer to recommendations made by two analysts.

- Jean King, CFA, is a quantitative analyst at Quantlogic, Inc. King uses computer-generated screens to differentiate value and growth stocks based on accounting numbers such as sales, cash flow, earnings, and book value. Based on her analysis of all domestically traded stocks in the U.S. over the past year, King concludes that value stocks as a class have underperformed growth stocks over that period. Using only this analysis, she recommends that account executives at Quantlogic sell all value stocks from the portfolios for which they have discretionary authority to trade and replace these stocks with growth stocks.
- James Capelli, CFA, is a fundamental analyst at Wheaton Capital Management, which focuses on regional stocks. His analysis of Branson Wireless includes the investment's basic characteristics such as information about historical earnings, ownership of assets, outstanding contracts, and other business factors. In addition to conducting both a general industry analysis and a company financial analysis, Capelli interviews key executives at Branson. Based on his analysis, he concludes that the company's future prospects are strong and issues a "buy" recommendation.

According to CFA Institute Standards of Professional Conduct, did King and Capelli have a reasonable and adequate basis for making their recommendations?

A) Both King and Capelli have a reasonable basis for their recommendations.

B) Capelli has a reasonable basis for his recommendation, but King does not.

C) King has a reasonable basis for his recommendation, but Capelli does not.

Question #59 of 63

Question ID: 1586669

An analyst has constructed an investment policy statement (IPS) and a portfolio for a new client, Susan Stevens. He has also provided written guidelines on the processes used to make investment management decisions. Six month later, Stevens questions the analyst about several portfolio holdings. Although the analyst cannot remember his reasoning for recommending specific securities, and cannot find supporting documents, he assures her that the recommendations were made within the limits of her IPS and the firm's stated processes for making investment management decisions. Stevens is not satisfied by this response, but leaves the portfolio unchanged. The analyst has *most likely* violated:

A) Standard V(B) Communications with Clients and Prospective Clients.

B) Standard V(C) Record Retention.

C) Standard III(C) Suitability.

Question #60 of 63

Question ID: 1586661

BlueRock Fund uses a proprietary asset selection model that it believes gives the firm a competitive advantage. The model is applied to a universe of all small-cap domestic equities and all publicly-traded corporate bonds. The asset allocations generated by this model range from +200 percent in small-cap equities/-100 percent in bonds to +200 percent in bonds/-100 percent in small-cap equities. Since the fund can invest in both equities and bonds, it is classified as a balanced fund. In the prospectus BlueRock describes the fund's investment policy as "a balanced fund, with 50 percent of the assets invested in bonds and 50 percent in equities, on average." On this basis, BlueRock is:

A) in violation of CFA Institute Standards concerning the disclosure of security selection and portfolio construction processes.

B) in violation of the CFA Institute Standard concerning Fiduciary Duty.

C) not in violation of any CFA Institute Standard.

Question #61 of 63

Question ID: 1586651

Rhonda Meyer, CFA, is preparing a research report on Moon Ventures, Inc. In the course of her research she learns the following:

- Moon had its credit rating downgraded by a prominent rating agency 3 years ago due to sales pressure in the industry. The rating was restored 3 months later when the pressure resolved.
- Moon's insider trading has been substantial over the last 3 months. Holdings of Moon shares by officers, directors, and key employees were reduced by 50% during that period.

In Meyer's detailed report making a buy recommendation for Moon, both the credit rating downgrade and the insider trading were omitted from the report.

Meyer has:

A) violated the Code and Standards by not including the insider trading information in her report.

B) not violated the Code and Standards in her report.

C) violated the Code and Standards by not including the insider trading information and by not including the credit rating downgrade in her report.

Question #62 of 63

Question ID: 1586625

Victor Logan is a portfolio manager for McCoy Advisors, and Jack Brisco is the Director of Research for McCoy. Brisco has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the McCoy model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. Brisco frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as "buys" by the model. Logan has conducted very thorough research on his own, using the same process that Brisco uses to validate his findings. Logan feels the model is missing some key elements that would further reduce the list of acceptable securities to purchase, however, Brisco has refused to look at Logan's research. Frustrated by this, Logan applies his own version of the model, with the justification that he is still only purchasing securities on the buy list. Because of the conflict with Brisco, he does not disclose the use of the model to anyone at McCoy or to clients. Which of the following statements regarding Logan and Brisco is CORRECT? Logan is:

A) not violating the Standards by applying his version of the model, but is violating the Standards by not disclosing it to clients. Brisco is not violating the Standards.

B) violating the Standards by applying his version of the model and by not disclosing it to clients. Brisco is violating the Standards by failing to consider Logan's research.

C) violating the Standards by applying his version of the model and by not disclosing it to clients. Brisco is not violating the Standards.

Question #63 of 63

Question ID: 1586656

Standard V(B), Communication with Clients and Prospective Clients, *least likely* requires members to:

A) use reasonable judgment regarding the inclusion or exclusion of relevant factors in research reports.

B) disclose the general principles of investment processes used to analyze and select securities, and construct portfolios.

C) make clear buy or sell recommendations on the securities covered in research reports.